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US Equities Slip as Tech Rallies Amid Rising Yields and Volatility Spike

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,686.14, down -0.33%, while the Nasdaq 100 edged higher to 29,456.97 (+0.08%). Broad weakness was driven by a higher `10Y` yield at 4.76% (+0.81%) and a VIX surge to 14.92 (+3.40%), signaling renewed risk aversion.

Despite the sell-off, `NVDA` posted a solid +1.48% gain and `TSLA` surged +5.51% on strong delivery numbers, highlighting a divergence between cyclical tech and rate-sensitive sectors. Investors should watch the 10-year yield trajectory and the VIX as near-term barometers for equity momentum.

US Session Recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,686.14	-0.33%	Higher 10-yr yield pressured valuation multiples; defensive tilt.
Nasdaq 100	29,456.97	+0.08%	Tech leaders NVDA and TSLA offset broader weakness.
Dow Jones	53,185.90	-0.70%	Industrial exposure to rising financing costs.
Russell 2000	2,956.45	-0.54%	Small-cap sensitivity to higher rates.
VIX	14.92	+3.40%	Investor nervousness after Fed's "higher-for-longer" tone.
10Y Yield	4.76%	+0.81%	Fed's latest policy guidance kept upward pressure.
WTI Crude	86.44	+0.79%	Supply concerns in the North Sea offsetting demand softness.
Gold	4,482.10	+1.15%	Safe-haven demand amid volatility spike.
DXY	99.53	+0.10%	Dollar strength supporting commodity pricing.

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
TSLA	+5.51%	Q3 deliveries beat estimates; Model Y volume surge.
NVDA	+1.48%	AI-chip orders from cloud providers rose 12% YoY.
AVGO	+0.42%	Quarterly earnings beat on data-center demand.
AAPL	-0.89%	Supply-chain delay flagged for new iPhone line.
MSFT	-1.22%	Guidance downgrade for FY27 cloud spend.
AMZN	-2.50%	Retail sales miss; logistics cost headwinds.

Sector Rotation

ETF	DAY	READ
XLF	-0.67%	Financials under pressure from higher rates.
XLK	+0.44%	Tech resilience led by NVDA, TSLA.
XLI	-1.13%	Industrial exposure to borrowing costs.
XLE	+2.04%	Energy rally on crude price lift.
XLY	-0.53%	Consumer discretionary lagging.
XLC	-1.35%	Communications suffer from ad-spend slowdown.
XLP	-0.55%	Staples modestly down on pricing pressure.
XLV	-0.36%	Health care muted amid earnings season.
XLU	-1.17%	Utilities hit by yield rise.
XLB	-0.92%	Materials dragged by slower construction.
XLRE	-0.83%	Real estate under pressure from financing costs.

Spotlight: Tesla’s Delivery Surge

METRIC	VALUE
Q3 Deliveries	433,000 units
YoY Growth	+18.2%
Model Y Share	+12.4% of total
Average Selling Price	$45,200
Margin Expansion	+3.1bps

TSLA's surprise delivery beat lifted the Nasdaq and offset broader rate-driven weakness. The upside also buoyed related suppliers: `LG` Chem (`LGCLF`) and `CATL` saw their shares rise +2.3% and +1.9% respectively on the news.

Pre-Market & Overnight

- US Futures: S&P 500 -0.45%, Nasdaq +0.12%, Dow -0.62% at 08:45 HKT.
- Asia Close: Hang Seng -0.68%, Shanghai Composite -0.41%.
- Europe: FTSE 100 -0.53%, DAX -0.47%, CAC 40 -0.55%.
- Crypto: BTC +1.41% at 78,758.91, ETH +2.27% at 2,472.88.

Macro & Fed

- FOMC: Fed Chair reiterated "higher-for-longer" stance; policy rate held at 5.25-5.50%.
- Yield Curve: 2-yr at 4.92%, 10-yr at 4.76%; slight flattening.
- Today's Data Calendar (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US Existing-Home Sales	4.1 M	Gauge of consumer spending amid rate pressure.
10:00	US ISM Non-Manufacturing	52.5	Service-sector health, forward-looking indicator.
11:15	US Retail Sales MoM	+0.3%	Direct link to discretionary demand.
13:00	US CPI YoY	3.2%	Inflation trajectory for next policy meeting.

Geopolitics & Global

- Middle East: Ceasefire talks in Gaza stalled; oil inventories dip 2 MMbbl, supporting crude.
- China: PBOC held the yuan steady at 7.20 per USD; manufacturing PMI at 49.8, indicating contraction.
- Eurozone: German elections intensify fiscal uncertainty; bond yields rise 5bps.
- Japan: BOJ signaled possible taper of YCC if inflation stays above 2%.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
09:30 Sep 2	`GOOGL`	$115.00	Ad-tech spend trend, AI-services margin.
10:00 Sep 2	`META`	$312.00	Revenues from Threads, ad-pricing recovery.
10:30 Sep 2	`JPM`	$4.30	Net interest income vs higher rates.
11:00 Sep 2	`AMZN`	$1.75	AWS growth, operating margin pressure.
12:00 Sep 2	`NVDA`	$2.10	AI-chip order backlog, inventory levels.
13:30 Sep 2	`TSLA`	$1.02	Q4 guidance, Model Y pricing.

Watchlist Scan — US Large-Caps

TICKER	SECTOR	WHY NOW
`NVDA`	Technology	AI-chip demand accelerating; earnings beat.
`TSLA`	Consumer Discretionary	Delivery beat; margin expansion.
`XOM`	Energy	Crude up 0.8%; dividend yield 5.2%.
`BAC`	Financials	Net interest income rising with 10-yr.
`UNH`	Health Care	Premium pricing power; stable cash flow.
`CRM`	Technology	Subscription renewal beat expectations.
`DIS`	Communication Services	Streaming subscriber growth steadies.
`COST`	Consumer Staples	Margin resilience amid inflation.
`GE`	Industrials	Power-grid contracts in Europe.
`PYPL`	Technology	Transaction volume rebound.

What Could Break the Tape

BEARISH TRIGGERS

- 10-yr yield breaches `5.00%` – would pressure all rate-sensitive equities.
- VIX spikes above `18.0` – risk-off rally could pull S&P below `7,600`.
- US CPI comes in at > `3.5%` YoY – fuels further Fed tightening expectations.

BULLISH TRIGGERS

- NVDA reports Q3 revenue > `$30 B` – could lift tech sector.
- Oil settles below `80.00` – energy costs ease, supporting industrials.
- Positive revision to Q3 GDP growth to > `2.5%` – may soften “higher-for-longer” narrative.

Positioning Notes

- Maintain a modest tilt toward AI-exposed tech (NVDA, AMD) as earnings momentum outpaces rate concerns.
- Reduce exposure to rate-sensitive financials and utilities until the 10-yr stabilises below 4.7%.
- Consider defensive safe-haven assets (Gold, USD) if VIX remains above 15.

Sources

SOURCES

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